

Practical Stablecoin Session — Pilot Discussion and Digital Garage POC (Challenges)

Context. BGIN Block 14, *FASE: Practical Stablecoin Implementation Guide* (Day 2, Room B). This note summarizes material from the meeting **transcript** through the **Digital Garage / Myna Wallet** retail-payment segment: the **USDC registration-fee pilot**, **SBI VC Trade**, floor discussion, and **DG's café POC** (before the chair's later **AI agents × stablecoin** exercise).

1. Purpose of the pilot (BGIN / Prof. Matsuo)

- Block 14 was the **first trial** of accepting **USDC** for **registration and sponsorship** fees—not only discussing stablecoins but **using** them in conference operations.
- The explicit goal was to **surface friction** across **technology, operations, and regulation** and to feed a **structured list of difficulties** into future improvements.
- In Japan, **SBI VC Trade** was described as the **only** licensed path for the needed **USDC ↔ JPY** leg for yen-denominated treasury needs, which drove the partnership.

2. Regulatory and business constraints in Japan

- **Approx. ¥1 million equivalent cap** on certain foreign-stablecoin flows (illustrated on the order of **~6,400 USDC** in the discussion): limits on sending/buying/selling above that threshold in the regulated exchange / wallet context.
- **Large corporate-style limits** were described as tight in practice (e.g., a **¥100 million per transaction** framing was called out as constraining).
- A **custody-duration / balance rule** for **foreign stablecoins (USDC)** on the exchange—**cannot retain above a yen-equivalent threshold beyond six months**—was said to **push balances off custodial platforms** into **non-custodial** arrangements, which is **operationally burdensome** for firms.
- **AML/CFT**: enabling payments requires **knowing provenance** (where funds come from and from whom). That is **hard to square** with **unknown counterparties** and **retail-scale** payment growth.
- **JPY-denominated stablecoin issuance** (SBI group context) was contrasted with **foreign stablecoins** still subject to the above constraints—**cross-border payers who need yen conversion** remain under the stricter foreign-stablecoin regime, limiting **viable use cases**.
- An informal poll suggested **only one participant** had paid registration in **USDC**, underscoring **adoption and liquidity** as practical issues, not only rules.

3. Operations and KYC friction

- **Account opening at SBI VC** for the Japanese non-profit supporting BGIN: the representative's **U.S. non-resident** status added **weeks** of KYC/email back-and-forth; **over one month** to open the account.

- **Coinbase Commerce** collected name, email, and physical address but lacked a field for **purpose of transaction**, which may be expected for **cross-border** payments—flagged as a **merchant-rail / product** gap to improve.
- **“USDC” vs. multi-chain reality**: the same ticker on **Ethereum, Base, etc.** behaves like **different settlement environments**. Because **SBI VC accepted only USDC on Ethereum** for this flow, a payment on another chain could **not** be processed through the intended **USDC → JPY** path. A **knowledgeable participant** still mis-routed funds; the group stressed **end-user confusion** at scale.
- **Obtaining USDC in the U.S. (personal experience cited)**: **credit-card purchase** not available; **bank transfer** heavy under AML/KYC; **instant** acquisition only via a **PayPal → linked bank (ACH)** workaround—described as **too difficult for average users**, despite policy enthusiasm for stablecoins in both the U.S. and Japan.

4. Payment UX and routing

- **Coinbase Commerce** was said to **default to the cheapest-fee network** (e.g., **Polygon**), so payers sometimes **did not choose a chain** yet settled on **the wrong chain** relative to the organizer’s requirement.
- **Merchants** then bear responsibility to **swap or bridge** to the chain they actually need—**operational overhead** on the receiver side.

5. Cost

- Participants briefly compared **all-in cost** and **who pays fees** (payer vs. merchant) and **wrong-chain remediation** costs; the chair then steered back to the published agenda (Digital Garage slot).

6. Digital Garage and Myna Wallet — retail stablecoin payment POC

Speakers (as in transcript). **Shunichi Kimura** (Head of Web3, Digital Garage) outlined the pilot; **Shindo** (CPO, **Myna Wallet**) followed with product detail and other POCs, in Japanese with consecutive interpretation.

6.1 DG context and pilot setup

- DG described itself as a **payment service provider** (stablecoins as a near-term operational theme), **Crypto Garage**, and **enterprise crypto custody** (e.g. digital-asset treasury clients), with a goal to support **Japanese enterprises** on stablecoins over time.
- **Motivation**: DG cited **1M+ merchants** on its rails as a potential **spend path** for stablecoin holders; the pilot was framed as building **real usage** despite limited domestic holding today.
- **Venue / flow**: Stablecoin payments at **Pangea Café** (10th floor of the Block 14 venue tower), with **Myna Wallet** support on **technology and regulatory framing**. **JCB** and **Resona Holdings** (large card network and banking group—ASR: “Risen”) participated to **explore future integration**.
- **Volume (stated)**: **100+ transactions**, split about **half JPYC / half USDC**. DG noted **surprising USDC use**, attributing it partly to **inbound visitors** to the Parco

complex stopping at the café.

6.2 Technical pattern (high level)

- **Myna Pay: QR-based** checkout, **gas-sponsored** transactions, and a **regulatory framework** for the POC. Wallets mentioned included a **KYC-oriented** Myna flow, **Base App**, and others via **WalletConnect**. Merchant experience: scan / confirm and deliver goods (e.g. coffee).

6.3 DG's summarized challenges

- **Merchants:** Adding the rail was described as **straightforward**; **no negative store feedback** in the POC.
- **Users vs. traditional payments:** Even wallet-experienced users sometimes faced **multiple authentication steps—more friction** than cards or QR bank pay.
- **Privacy: Public on-chain history** exposes **who paid**; **merchant revenue** can be inferred (Kimura cited **one-time addresses** as a parallel to patterns **Stripe** uses). Open need for **mitigations** at scale.
- **Compliance:** Large players could **restrict to KYC'd wallets**, but **non-KYC wallets** (e.g. **Base App**) remain in the wild—tension over **how strongly to push KYC** and whether **near-real-time KYT / API-style screening** can avoid **screening every small merchant payment** without **slowing** checkout (DG runs a **Japanese exchange** and flagged this **speed vs. control** trade-off).
- **Licensing (scale-up): Who holds the license** (e.g. **JCB vs. DG**) was described as **under discussion**.
- **Wallet architecture:** **Direct deposit to a licensed exchange** is awkward for **high-frequency small tickets** because exchanges may need to **screen each receipt**—suggestion of **self-custody / hybrid / proxy** designs to combine **exchange** and **payment** needs.
- **Gas / economics:** Gas in the POC ranged about **tens of bps to several percent** depending on **amount, chain, and timing**; for a **payment operator** gas is **pure cost**, and **all-in pricing** for future **KYC / FX** services was described as **still unclear**.

6.4 Myna Wallet — additional POC color and UX hurdles

- **Product: My Number card / JPKE-oriented non-custodial wallet with KYC** (operator certification narrative as in transcript).
- **Other experiments:** e.g. **Fukuoka pro-basketball** event with **JPYC** and **physical My Number card** tap-style flow; ongoing tests with **JPYC** and **USDC**.
- **Café QR POC: Myna Pay**—customer scans merchant QR; pay from **Base App**, **MetaMask**, or **Myna Wallet**.
- **User pain points: On-ramping, understanding networks, mistakes** (e.g. POC accepted **JPYC on Polygon** and **USDC on Base**, but some users sent **JPYC on Avalanche**); difficulty obtaining **native tokens for gas** even when the **café flow** was **gas-sponsored** (because acquisition paths still hit gas). **Simpler UX** may require **legal clearance** workstreams.
- **Scale vs. rules:** Roughly **tens of thousands of yen** in sales over **five days** was mentioned alongside **JPYC ~¥1M-type limits** as a **modeling / compliance** constraint for something **economically meaningful**.

- **Privacy / policy hope (paraphrased):** desire for frameworks where **KYC'd wallets** improve **compliance and smooth use** without abandoning **payment privacy** entirely.

6.5 Live anecdote

- Same-day **live payment demo** at the café (~**USD 250 equivalent** cited): **Base wallet** payment **failed** (wallet tied to an **unexpected address**); **USDC** moved to **MetaMask** and paid via **QR** → **merchant page** → **wallet choice** → **multiple confirms**. Framed as illustrating **shared UX pain** with the POC team's findings.